Customer Churn Analysis Report

Churn rate, Customer Lifetime Value, revenue at risk, key drivers and recommendations

41.2%	₹187,320	41.1%	₹65,583
Churn rate (247 of 600 customers)	Monthly revenue (MRR) lost to churn	Share of total MRR lost	Estimated CLV per customer

Executive summary

Of 600 customers, **247 (41.2%) have churned**, taking **₹187,320 of monthly recurring revenue** with them (41.1% of the ₹455,778 total), about **₹2,247,837 a year**. Churn is not spread evenly; it is concentrated in a few clear groups:

Contract type is the single biggest driver. Month-to-month customers churn at **59.8%** versus 20.1% (one-year) and 20.8% (two-year). They make up 53% of customers but **77% of all churn** and ₹144,427 of the lost MRR.

Late payments are the strongest warning sign. Churn rises from 24% with no late payments to 55% with two and 69% with three.

Support tickets signal frustration. Churn rises from 27% with no tickets to 50% with three and 79% with five.

New customers are most at risk: 54% of first-year customers churn, against 35% for customers of four years or more. But tenure only protects customers on annual contracts, month-to-month customers stay at risk at every tenure.

Payment method matters a little: UPI and Wallet users churn at about 45% versus about 37% for Card and Net Banking.

Not drivers in this data: age, price, plan type, auto-pay and region show little or no relationship with churn. Price cuts are unlikely to be the best lever.

Top recommendation

Move month-to-month customers onto annual contracts and intervene early on late payments and repeated support tickets. Converting just **25% of month-to-month customers** to one-year contracts could save an estimated **~31 customers and ~₹24,263 of MRR** (13% of the revenue lost today) at the observed one-year churn rate. This is an estimate, see the caveats on the last page.

1. Data and method

Data: 600 customer records after cleaning (5 duplicate records removed, 10 missing total-charge values imputed, 7 monthly-charge outliers corrected, 13 missing regions labelled “Unknown”). The cleaned file has no missing values and passes validation checks on ID uniqueness, value ranges and plan price bands.

Definitions:

Churn rate = churned customers ÷ all customers.

MRR loss = monthly charges of churned customers, also shown as a share of total MRR.

ARPU = average monthly charge per customer.

Monthly churn rate = churned customers ÷ total customer-months observed. Customer-months are used because customers have been observed for very different lengths of time.

CLV = ARPU ÷ monthly churn rate (ARPU × expected lifetime in months).

2. Baseline metrics

Metric	Value
Customers	600
Churned customers	247
Churn rate	41.2%
Total MRR	₹455,778
MRR lost to churn	₹187,320 (41.1%)
Annualised revenue lost	₹2,247,837
ARPU (average monthly charge)	₹760
Monthly churn rate	1.16%
Implied average lifetime	86 months
Estimated CLV (ARPU × lifetime)	₹65,583
Average tenure: churned vs retained	32.5 vs 37.6 months

Reading CLV. The 86-month implied lifetime is longer than the longest tenure in the data (72 months), so it is an extrapolation that assumes churn stays constant. Treat it as a relative yardstick for comparing segments, not an exact forecast.

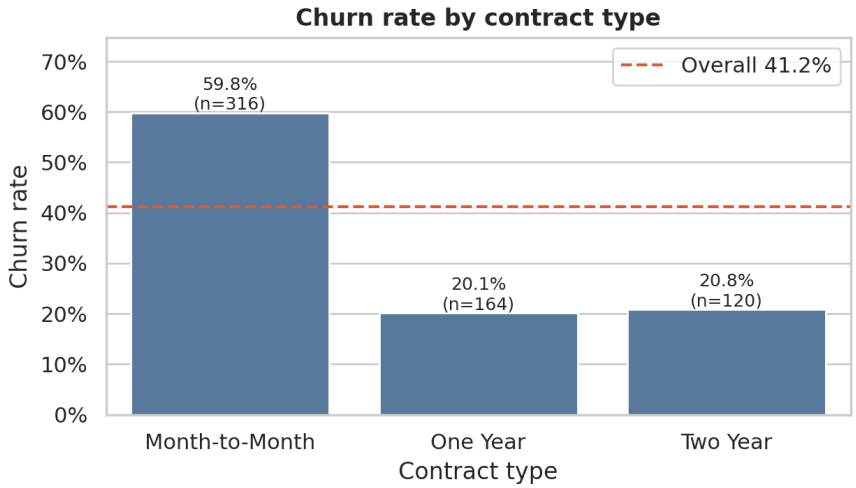
3. CLV and revenue loss by contract type

Contract	Customers	Churn	Mo. churn	ARPU	CLV	MRR lost
Month-to-Month	**316**	**59.8%**	**1.73%**	**₹774**	**₹44,756**	**₹144,427**
One Year	164	20.1%	0.55%	₹759	₹137,578	₹25,641
Two Year	120	20.8%	0.57%	₹723	₹127,610	₹17,252

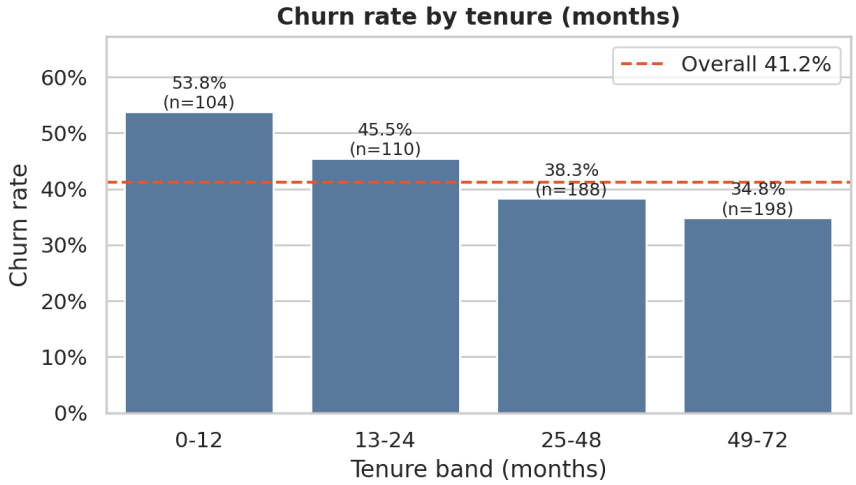
A one-year customer is worth about **3.1×** a month-to-month customer, because they stay far longer at the same price level.

4. Churn by contract type, tenure and payment method

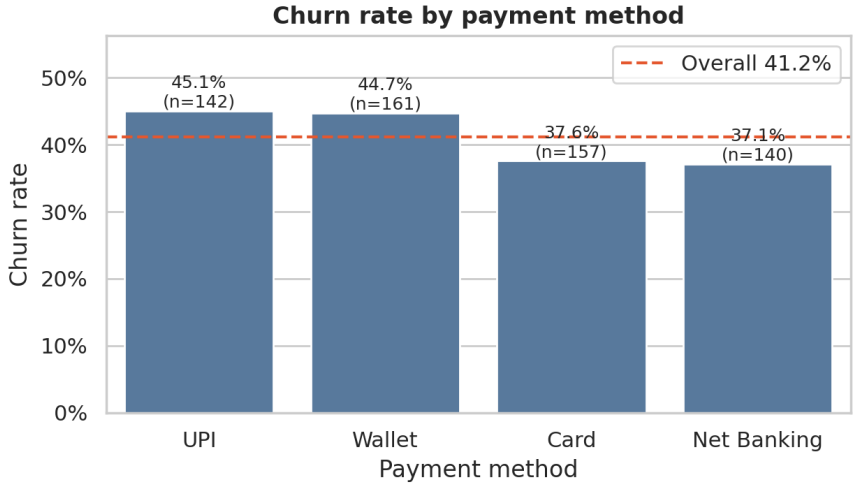
Contract type separates customers more than any other field. Month-to-month customers churn almost three times as often as annual customers. One-year and two-year contracts perform about the same, so the real step is getting customers off month-to-month.



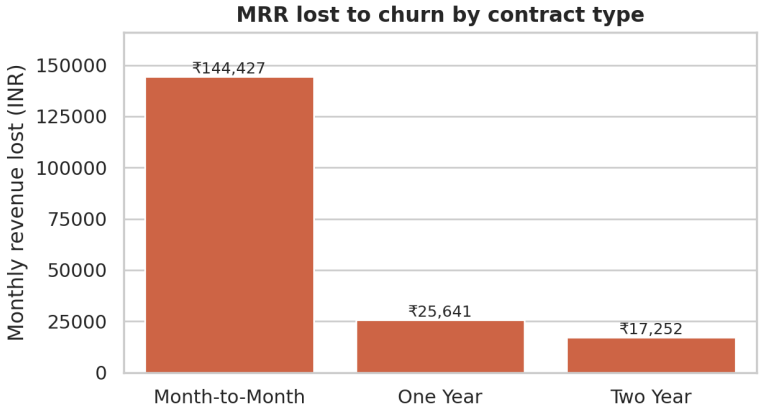
Churn falls steadily with tenure, from 53.8% in the first year to 34.8% after four years.



UPI (45.1%) and Wallet (44.7%) users churn more than Card (37.6%) and Net Banking (37.1%) users.



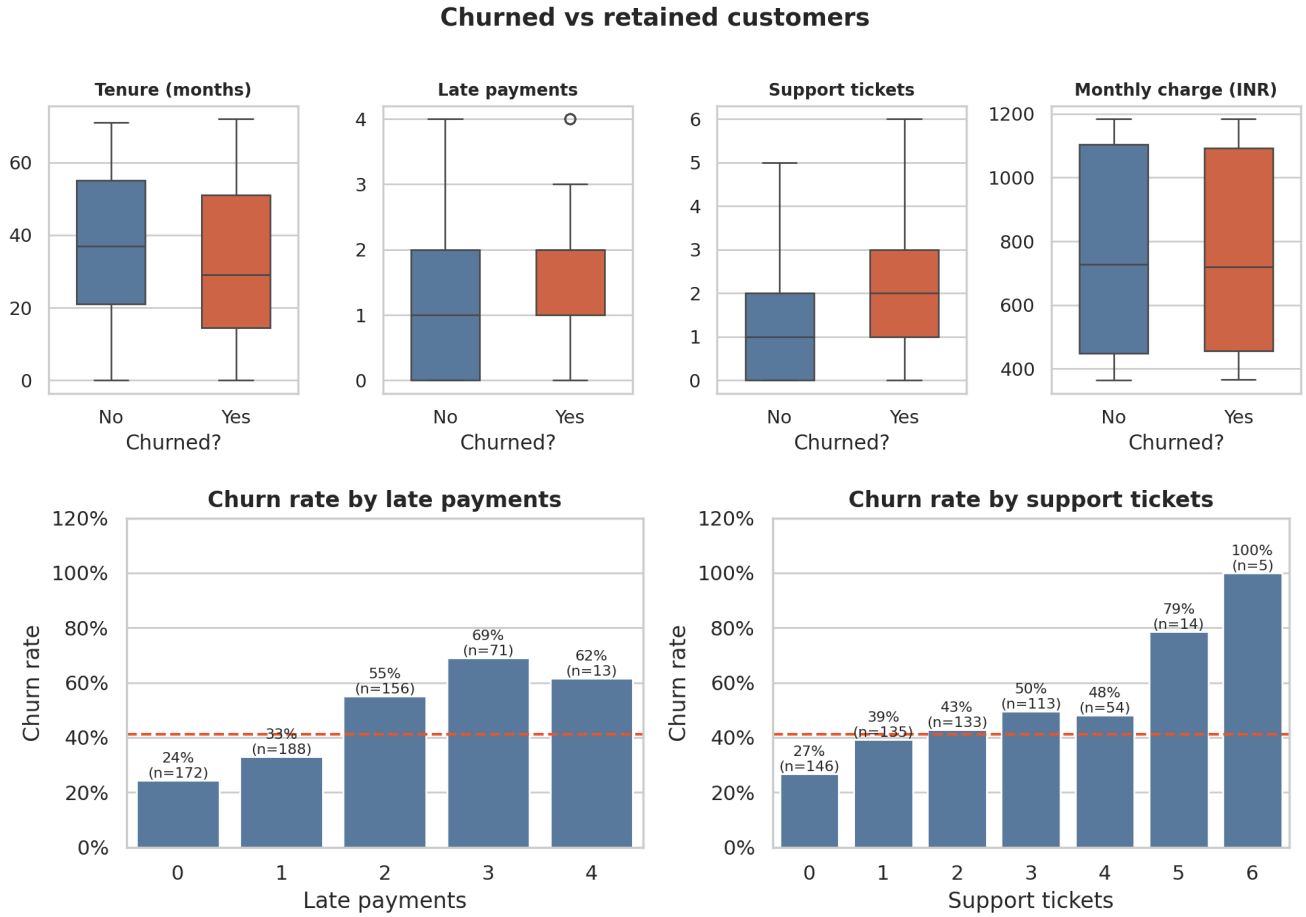
Revenue lost to churn by contract type



Plan type does not change the churn rate (Basic 41%, Standard 42%, Pro 40%), but because Pro customers pay more, **Pro churn accounts for ₹95,723 of the lost MRR (51%)**. Retention effort on Pro customers pays back most per customer saved.

5. Behavioural drivers

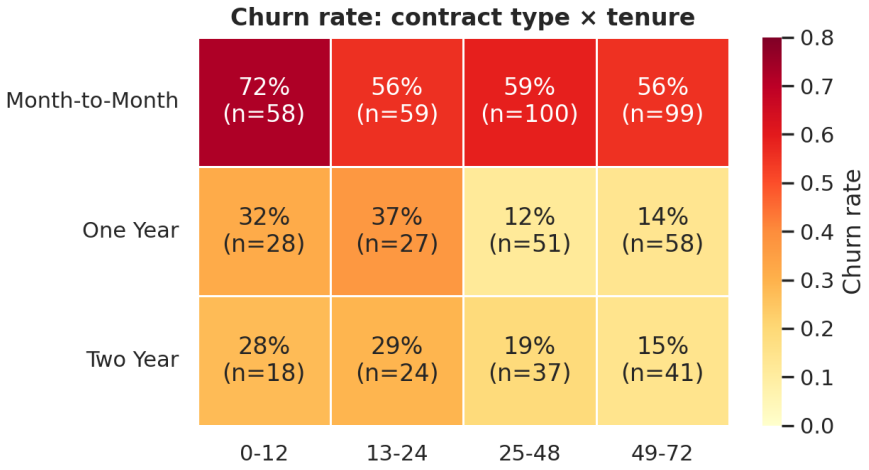
Box plots compare churned and retained customers. Churned customers have shorter tenure, more late payments and more support tickets. Monthly charge is almost identical for both groups, which confirms that price is not what separates them.



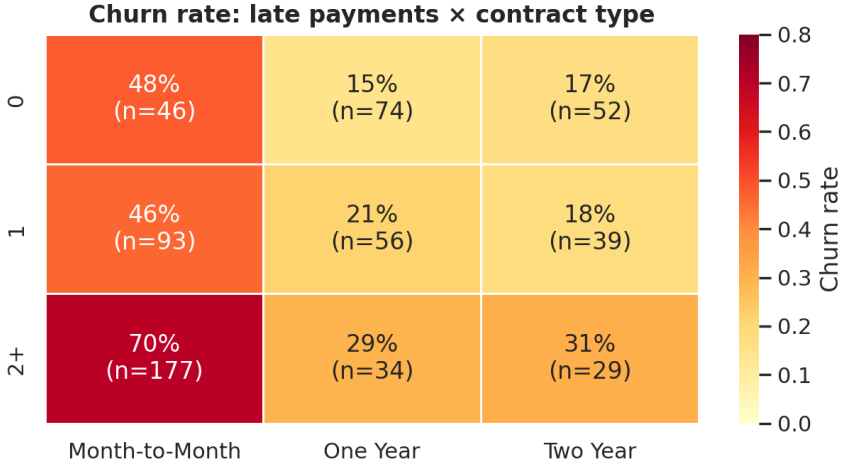
240 customers have two or more late payments. Their churn rate is **60%**, and they account for **58% of all churned customers** and ₹107,157 of lost MRR. Customers with three or more support tickets churn at 53%.

6. Combined view (heatmaps)

Heatmaps show how two factors act together. Cells with small samples (n shown in each cell) should be read with care.

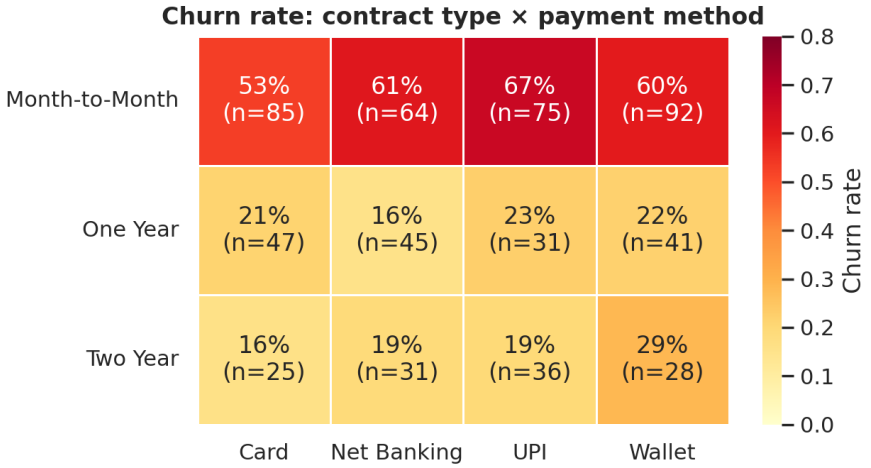


Tenure protects annual-contract customers but not month-to-month ones. Month-to-month churn stays at 56–72% at every tenure level, while annual contracts drop to 12–19% after two years. The first year is risky for everyone (72% month-to-month, 28–32% annual).



Late payments hurt most in month-to-month contracts. Month-to-month customers with two or more late payments churn at 70%, and this is the largest high-risk group (177 customers). Annual customers with the same payment history churn at about 30%.

Payment method across contract types



Month-to-month customers churn more than annual customers regardless of payment method, so payment method is a secondary lever.

7. Recommendations

#	Action	Why and how	Priority
1	**Move customers off month-to-month contracts**	Offer a discount or bonus month for switching to an annual plan, targeted at customers around months 3–12, when the move is easiest. A 25% conversion could save ~31 customers and ~₹24,263 MRR a month.	High
2	**Act on the first late payment**	Late payments predict churn better than anything else in the data. Trigger a reminder and a friendly call after the first late payment, and offer flexible due dates or a payment-plan option. 240 customers are already at 2+ late payments, so start with month-to-month customers, who make up 77% of all churn.	High
3	**Escalate repeat support cases**	Flag customers at 3+ tickets to a senior agent and follow up after the ticket is resolved. Churn is above 50% at this level, so fixing the underlying issues matters more than ticket closing time.	High
4	**Build a first-year onboarding programme**	Churn is 54% in year one. Use welcome check-ins at months 1, 3 and 6, and tie the first annual-plan offer to this journey.	Medium
5	**Encourage card or net-banking auto-debit**	UPI and Wallet users churn about 8 points more than Card and Net Banking users. Offer a small incentive to switch, and look into failed payments on UPI and Wallet.	Medium
6	**Protect Pro customers first**	Pro customers are 35% of the base but 51% of lost MRR. Give them a named account contact and priority support.	Medium
7	**Do not lead with price cuts**	Price, plan type and auto-pay show no link to churn here. Discounts should be tied to contract commitment, not given across the board.	Guidance

Caveats

This is observational data, so the patterns show association, not proof of cause. Customers who pick annual contracts may already be more loyal, so converting month-to-month customers may save fewer customers than the scenario shows.

CLV assumes a constant monthly churn rate and extrapolates beyond the 72 months observed. Use it to compare segments, not as a forecast.

The records are synthetic, and some heatmap cells have small samples (n is shown in each cell).

Method and code: see churn_analysis.ipynb, which reproduces every number and chart in this report.